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Indonesia GDP Growth — First Quarter 2026: Behind the 5.61% Headline

*Permanent-Cyclical Decomposition, Internal Consistency Checks, and
2026 Growth Projections Amid Global Risks*

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Key Message

Our review shows the 5.61% YoY figure is questionable as a measure of economic health. Strikingly, BPS's own data reveals an internal inconsistency: the Electricity, Gas & Water sector recorded negative value-added growth (**-0.99%**), while Manufacturing is reported at **+5.04%**. If the electricity supply contracted, such manufacturing growth is difficult to justify on physical grounds. This correction, based on internal inconsistencies, yields a more realistic Q1-2026 GDP estimate of **4.6–4.9%**. Combined with fiscal reversal in Q2–Q4, El Niño risk, and Iran war transmission, we project full-year 2026 growth of **4.0–4.5% as a realistic and credible outcome**.

Statistical Credibility Note: Recent research (Bloom, Groshen, Hobbs & Strain, NBER 2026) finds that eroding trust in official statistics — even without proven manipulation — raises economic policy uncertainty at a cost equivalent to roughly \$25 per \$1 of statistical agency budget. The greatest risk of defending the 5.61% headline is not disbelief but *discounting*: a credible 4.7–4.9% figure serves the economy better than an implausible 5.61%.

1. 5.61% Growth: A Questionable Number and an Overstated Narrative

BPS reported Indonesia's GDP grew 5.61% YoY in Q1 2026 — the highest since 2012 (excluding the Covid-19 period). The government identifies three "centres of gravity": the Free Nutritious Meals program (MBG), Merah Putih Cooperatives (KMP), and Danantara. This report tests whether that identification is supported

by data, including through an internal consistency check within BPS's own published figures.

Preliminary conclusion: the 5.61% headline is largely explained by temporary factors, and an inconsistency within BPS's own production-side data indicates this figure is likely overstated.

Component	Contribution (pp)	Nature	Note
Household Consumption	+2.94	Permanent + cyclical	Solid; Eid portion ~0.5pp temporary
Gross Fixed Capital (PMTB)	+1.79	Permanent	Import-dependent; Danantara not yet visible
Government Consumption	+1.26	Temporary	THR ~Rp50T + MBG ~Rp50T = main sources of ΔG
Net Exports	-1.15	Structurally weak	Exports +0.9% vs imports +7.2%
Other (inventories etc)	~+0.77	SUT residual	Rp100T surge is questionable
TOTAL	5.61%	—	Aggregate figure questionable; composition warrants scrutiny.

Among the three government pillars, **Danantara** made no measurable GDP contribution in Q1-2026 — the deployment mechanism of a sovereign wealth fund typically takes 6–18 months from mandate to real-economy impact. **Merah Putih Cooperatives (KMP)** were only at an early stage of construction (~7% completion by end-Q1), contributing approximately 0.04 pp; the bulk of construction proceeded in earnest from April–May 2026.

MBG is the most economically significant of the three. With a 2026 budget of Rp 260 trillion (1.14% of GDP) — compared to Rp 71 trillion in 2025 — and Q1 spending estimated at approximately Rp 50 trillion (ramp-up phase; full run-rate Rp 65T/quarter), the MBG multiplier effect requires careful decomposition:

Analysis Layer	Assumption	Q1 GDP Impact	Annual GDP Impact
Gross (before adjustment)	Multiplier 1.2; import leakage 20%	~+0.99 pp	~+1.09 pp
After the displacement effect	Substitution ~35%: MBG partly replaces pre-existing household food expenditure	~+0.64 pp	~+0.71 pp
Net final estimate (ours)	Central estimate with displacement	~+0.64 pp	~+0.71 pp

The displacement effect is the key factor most analyses overlook: MBG beneficiaries were not going without food before the program existed. MBG partly substitutes pre-existing household food expenditure — only the truly incremental portion constitutes net new demand. In addition, MBG providers are driving out of competition the local canteen workers/vendors. The three pillars combined contribute approximately 0.68 pp net — real and material, but seasonal factors (Eid, THR, base effect) and the SUT inventory residual, together contributing ~1.5–2.0 pp, remain the dominant drivers of the 5.61% headline.

2. Internal Inconsistency: Electricity Sector vs Manufacturing

This report does not rely on any external data source to challenge the BPS manufacturing figure. Instead, we rely on data published by BPS itself, on the same production side of GDP, to show that Manufacturing growth of +5.04% is inconsistent with other sectoral data in the same release.

Critical Inconsistency

BPS reports that (1) the Electricity, Gas & Water sector recorded real value added growth of **-0.99%** YoY in Q1-2026, and (2) Manufacturing grew **+5.04%** YoY in the same period. Both figures come from the same official BPS publication. Logically, both cannot be correct: if the electricity supply contracted, the manufacturing sector — the largest electricity user in the economy — could not have physically grown by 5%

(3) Other sectors which consume a considerable amount of electricity for their activities grew substantially — Hotel and Restaurant grew by 13.14% YoY and ICT grew by 7.14% YoY — compounding the supply inconsistency.

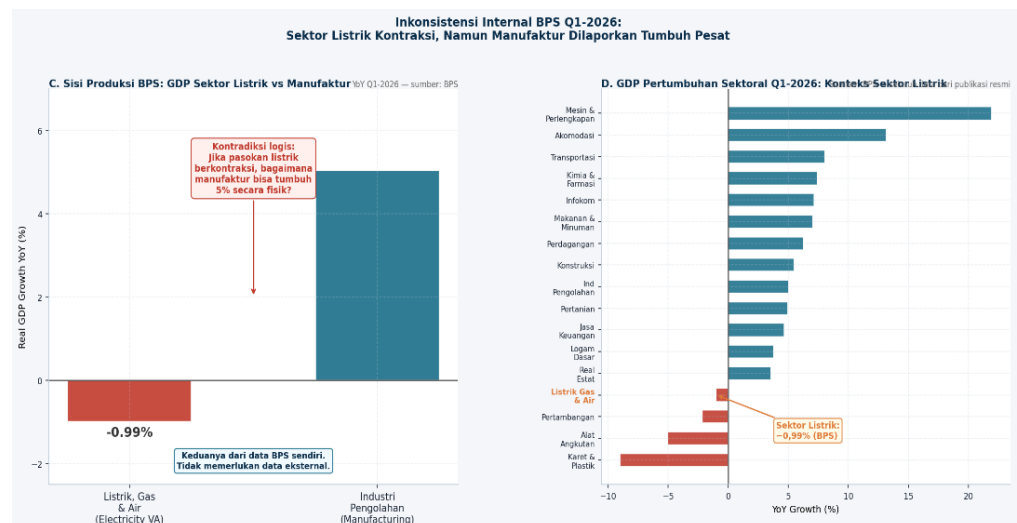


Figure 1. BPS internal inconsistency: Electricity sector VA -0.99% vs Manufacturing GDP +5.04%. Source: BPS, processed by the Authors.

2.1 Why This Inconsistency Is Significant

Manufacturing is the largest electricity user in the Indonesian economy, absorbing approximately 40–42% of total national electricity consumption. The relationship between manufacturing output and electricity consumption is technically fundamental: production machinery, smelting furnaces, assembly lines, and cooling systems all require electricity. In the short run, this energy

input-output coefficient is relatively fixed — a premise that underpins BPS's own quarterly estimation methodology.

From BPS's production-side perspective, the Electricity, Gas & Water sector captures value added generated by electricity producers — including PLN and independent power producers (IPPs). Negative value-added growth (−0.99%) indicates that aggregate electricity production declined. Declining electricity supply alongside rapid growth in electricity-dependent manufacturing is a contradiction that demands explanation — and none is offered in the BPS release.

2.2 Internal Inconsistency-Based Correction

Using this internal inconsistency as a basis, we estimate a range of manufacturing growth rates that is more consistent with the electricity sector contraction. Manufacturing contributes 19.07% of GDP with Q1-2025 output of Rp 667.7 trillion (constant prices).

Manufacturing Growth Assumption	Basis	Corrected Q1-2026 GDP	Correction vs BPS
−0.99% (= electricity VA growth)	Lower bound: manufacturing tracks electricity VA	~4.38%	−1.23pp
0.0% (flat)	Conservative: electricity contracts → manufacturing flat	~4.58%	−1.03pp
1.5% (moderate recovery)	Central estimate: midpoint between 0% and BPS	~4.89%	−0.72pp
+5.04% (BPS reported)	BPS headline — inconsistent with the electricity sector	5.61%	—

Our central estimate — manufacturing growth ~1.5%, yielding Q1-2026 GDP of ~4.89% — is chosen as a conservative midpoint. This is not a single definitive figure, but the midpoint of an analytically defensible range based entirely on BPS's own published data.

2.3 Methodological Caveat: The Composition Effect in Aggregate Data

The Electricity, Gas & Water sector value added growth (-0.99%) is a weighted average across all customer categories: households ($\sim 43\%$ of total kWh sales), business/commercial ($\sim 19\%$),

industry ($\sim 31\%$), and social/government ($\sim 7\%$). This creates what we term a composition effect: aggregate electricity growth does not directly reflect industrial electricity consumption growth.

Concretely: if households use more electricity while industry contracts, the aggregate can be close to zero even when industrial electricity consumption is significantly negative — and vice versa. This limits the precision of any correction based on the aggregate figure. Ideally, sector-specific industrial electricity data (I3/I4 tariff categories) would be used to isolate the manufacturing signal precisely.

*The Q1-2026 seasonal pattern reinforces rather than weakens our argument. Q1-2026 encompasses peak Ramadan and Eid al-Fitr — a period when household electricity consumption historically rises (cooking, extended evening lighting, daytime air conditioning). If households pushed aggregate consumption upward while the aggregate remained negative (-0.99%), the contraction in the industrial segment must have been deeper than the aggregate figure suggests. The composition effect in this context likely makes our correction **conservative rather than excessive**.*

2.4 The Inventory Problem: SUT Residual Compounds the Picture

Beyond the inconsistency in electricity manufacturing, there is a separate problem with the inventory change component. Under the SUT (Supply and Use Table) SNA 2018 framework, GDP is estimated in parallel on the production and expenditure sides. The inventory surge from Rp 4.2 trillion

(Q4-2025) to Rp 104 trillion (Q1-2026) — a 25-fold jump in a single quarter — almost certainly reflects SUT reconciliation residuals rather than genuine firm-level stocking behavior.

If the +0.44 pp inventory contribution is excluded, ex-inventory growth is 5.17%. Combined with the temporary Government Consumption component (−1.26 pp), underlying private sector growth is around 3.91%.

3. Trend-Cycle Decomposition: Not a Structural Acceleration

This report applies the HP filter (Hodrick-Prescott, $\lambda=1600$) to the real GDP level series from Q1 2018 to Q1 2026 to separate permanent from cyclical components.

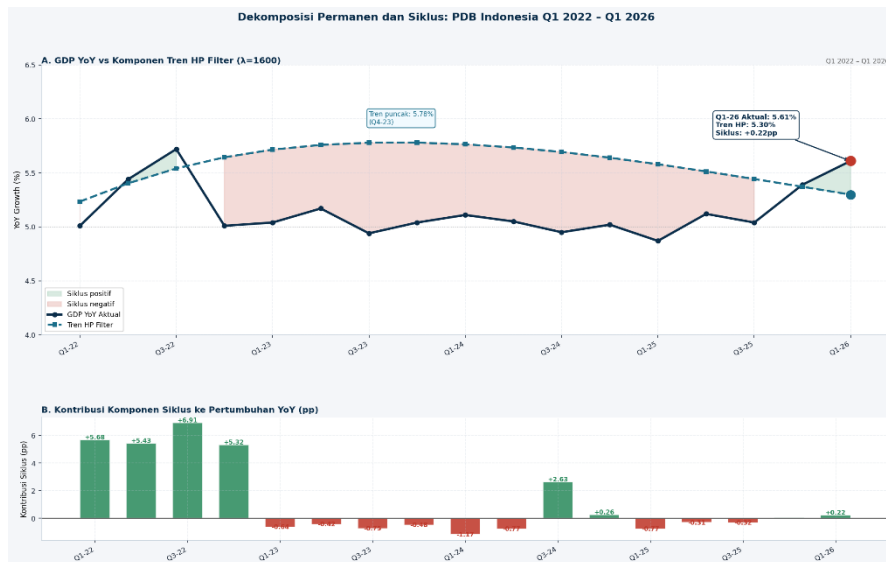


Figure 2. HP Filter Decomposition: Actual GDP YoY vs Trend and Cyclical Contribution.
Source: BPS, Authors' calculations.

3.1 Structural Trend Has Been Weakening Since 2022–2023

Indonesia's structural GDP trend peaked at around 5.76–5.78% in 2022–2023 and has been declining consistently since. The HP trend for Q1-2026 is 5.30% — already 0.5 pp below the peak. After the internal inconsistency

correction, the ~4.89% Q1-2026 estimate falls clearly below the trend, a picture more consistent with ongoing structural weakening.

ddddddddd	GDP YoY	HP Trend	Cyclical (pp)	Interpretation
Q1-2025	4.87%	5.58%	-0.77pp	Well below trend
Q4-2025	5.39%	5.37%	+0.08pp	Near trend
Q1-2026 (BPS headline)	5.61%	5.30%	+0.22pp	Above trend — cyclical effects
Q1-2026 (Elec-adjusted, central)	~4.89%	5.30%	-0.41pp	Below trend — more consistent

3.2 Seasonal Factor Accumulation in Q1-2026: ~1.5–2.0 pp Above Normal

Cyclical Factor	Estimated Contribution	Note
HP structural trend	~5.30%	Declining; peaked at 5.76% in 2022–23
Eid calendar effect (full Q1)	~+0.6 pp	2026 Eid fully in Q1
THR + above-normal Government Spending	~+0.5–+0.7 pp	Civil servant bonus (gaji ke-13) + early MBG phase
Low base effect (Q1-25 = 4.87%)	~+0.2–+0.3 pp	One of the weakest Q1s since 2021
SUT inventory residual	~+0.2–+0.3 pp	Likely SUT reconciliation residual
TOTAL CYCLICAL	~+1.5–+2.0 pp	Will fade in Q2–Q4 2026
HEADLINE GDP (BPS)	5.61%	= Trend + Cyclical
CORRECTED GDP (central estimate)	~4.89%	After electricity-manufacturing inconsistency correction

4. Implicit Deflators: Not the Primary Source of Distortion

Analysis of BPS microdata confirms that deflation arithmetic is internally consistent. The aggregate GDP deflator (3.40%) is nearly equal to CPI (3.48%) — no systemic distortion at the aggregate level. Two exceptions worth noting: (1) Accommodation (deflator 1.66% vs CPI 3.48%) — if raised to CPI, real growth falls from 13.14% to ~11.2%, reducing GDP contribution by ~0.10 pp; (2) Machinery & Equipment (+21.93% real, deflator 0.2%) — arithmetic is correct but such physical growth is unconfirmed by other data, likely reflecting capital goods import reclassification. Deflators are not the primary source of distortion, but reinforce questions about specific manufacturing sub-sectors.

5. Three Critical Notes for the Q2–Q4 2026 Outlook

5.1 The Government Spending Surge Merely Shifts the Quarterly Pattern

This is a methodological point often overlooked in analyses of Indonesia's growth. Government Consumption grew 21.81% YoY in Q1-2026, contributing 1.26 pp to total growth. However, if total APBN 2026 remains unchanged from its approved target, the acceleration of spending in Q1 must be offset by reduced spending in Q2–Q4.

*The government does not create new growth by front-loading Q1 spending — it merely borrows growth from subsequent quarters. With total APBN 2026 unchanged, Government Consumption will become a growth headwind in Q2–Q4, potentially weighing on growth by up to **-0.5 pp**. If Government Consumption is excluded from Q1-2026 GDP, growth is only 4.62%.*

Historical data support this: in Q2 2025, Government Consumption grew only +4.55% YoY after an unremarkable Q1 2025 (+4.55%). In Q2 2026, actual spending will be compared against an already-elevated Q2 2025 base, with remaining budget constrained after Q1 THR and MBG payments. Our estimate: Government Consumption will negatively contribute to GDP growth by up to -0.5 pp in Q2–Q3 2026. Furthermore, if Government Consumption is excluded from Q1-2026 GDP, effective growth is only 4.62%.

5.2 El Niño Risk: A Threat to Agriculture and Estate Crops

BMKG and NOAA forecasts indicate an increased probability of El Niño in the second half of 2026, with peak impact likely in Q3–Q4. Three main transmission channels:

- Rice: Q1-2026 main harvest (+10.5% YoY) creates a high base that will be reversed by prolonged dry season in Q3–Q4.
- Plantations (CPO and rubber): production sensitive to drought; CPO is Indonesia's largest export commodity.
- Livestock and feed crops: corn and soybean availability threatened by crop failure, potentially raising poultry production costs.

Estimated El Niño impact if materialized: -0.2 to -0.5 pp on 2026 GDP growth through food crop and estate crop contraction in Q3–Q4.

5.3 Iran War Risk Transmission

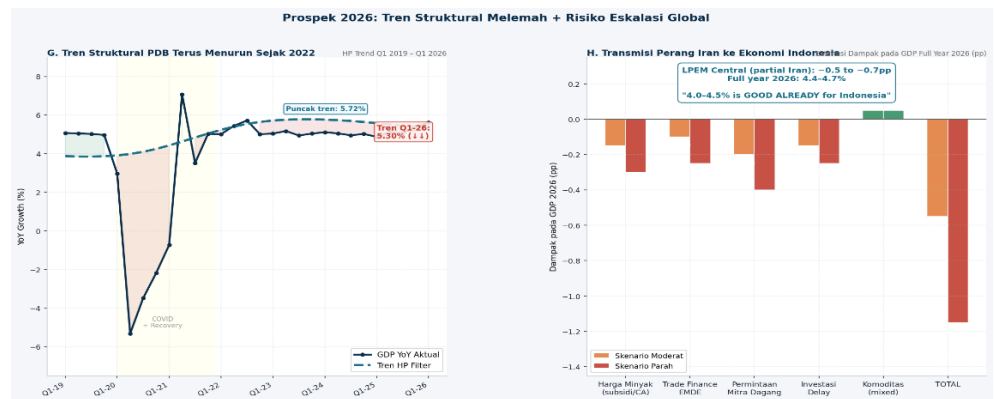


Figure 3. Declining Structural GDP Trend and Iran War Impact Transmission. Source: BPS, IMF WEO April 2026, Authors' calculations.

- Oil prices: every \$1/bbl increase in the ICP above the APBN assumption adds approximately Rp 10.3 trillion in fiscal expenditure. As of March 2026, the ICP had already risen more than \$40/bbl above the APBN assumption.
- Trade finance: risk-off conditions tighten EMDE trade credit and raise risk premia.
- Trading partner demand: US slowing to 1.8%; China 5.0% (IMF April 2026). Escalation weighs on CPO and nickel exports.
- Investment delays: FDI and domestic investment decisions are typically postponed 1–2 quarters under high geopolitical uncertainty.

6. 2026 Projections: 4.0–4.5% Is Already a Good Outcome

6.1 Q1 Correction Based on BPS Internal Inconsistency

Using BPS's own internal inconsistency — Electricity sector value added growth of -0.99% vs Manufacturing GDP growth of $+5.04\%$ — as the sole correction basis, we estimate a more realistic Q1-2026 GDP in the range of

4.4–5.2%, with a central estimate of ~4.89%. This correction is derived entirely from BPS's published data, requiring no external sources.

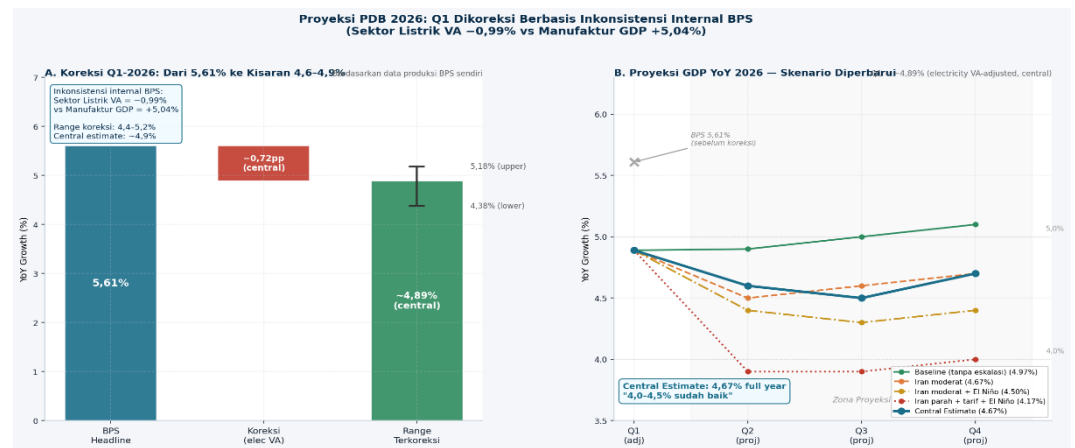


Figure 4. Q1 Correction Based on Internal Inconsistency and 2026 Projection Scenarios.
Source: BPS, Authors' calculations.

6.2 2026 Projection Scenarios

Using Q1 ~4.89% (central estimate, electricity-adjusted) as the starting point, and incorporating government spending reversal in Q2–Q4, El Niño risk, and Iran war transmission:

Scenario	Q1 (adj)	Q2 (proj)	Q3 (proj)	Q4 (proj)	Full Year	Key Assumptions
Baseline (no escalation)	4.89%	4.9%	5.0%	5.1%	4.97%	Cyclical fades; no El Niño
Iran moderate	4.89%	4.5%	4.6%	4.7%	4.67%	Oil \$85–95; no El Niño
Iran moderate + El Niño	4.89%	4.4%	4.3%	4.4%	4.50%	Moderate Iran + agricultural impact Q3–Q4
Iran severe + tariffs + El Niño	4.89%	3.9%	3.9%	4.0%	4.17%	Oil \$100+; Trump tariffs; drought
Central Estimate	4.89%	4.6%	4.5%	4.7%	4.67%	Partial Iran; partial El Niño; domestic resilience

*We project full-year 2026 growth at 4.8–5.0% in the baseline scenario, with a Central Estimate of 4.67%. Under moderate Iran risk: 4.67%. Moderate Iran + El Niño: 4.50%. Worst case (severe Iran + tariffs + El Niño): 4.17%. In all but the baseline scenario, growth of **4.0–4.5% is a good and realistic outcome** given the global context of 2026.*

6.3 Why 4.0–4.5% Is a Creditable Outcome

Country/Region	2026f Growth (IMF)	Relative to Indonesia
World	3.1%	4.x% = higher
Advanced Economies	1.8%	2.5× higher
ASEAN average	~4.2%	Comparable
China	5.0%	Near parity
India	6.2%	Below India — expected
Vietnam	5.7%	Below Vietnam warrants attention
INDONESIA (Our est.)	4.6–4.9%	Realistic target

7. Policy Implications

7.1 Do Not Let Q1-2026 Reduce the Urgency for Reform

The greatest risk of the 5.61% number is that it may reduce pressure for urgently needed structural reforms. The data shows this growth is a product of fiscal timing and religious calendar effects — and is likely overstated due to an internal inconsistency within BPS's own data.

7.2 Four Near-Term Policy Priorities

- Quarterly fiscal management: Q1 spending acceleration creates Q2–Q3 headwinds. Smoother spending planning — or a supplementary budget (APBN-P) — is important to avoid a second-half growth cliff.
- El Niño preparation: activate food security protocols now — strategic food imports, Bulog buffer stocks, emergency irrigation schemes — before impacts are felt in Q3.

- Fix exports and mining: the -2.14% mining contraction and near-flat exports (+0.9%) amid rising commodity prices indicate structural bottlenecks requiring immediate attention.
- Recalibrate the MBG narrative: the program is valid as a nutrition and welfare initiative, not a macroeconomic engine. With a budget of Rp 260 trillion (1.14% of GDP) and a net multiplier of 0.62 after accounting for a ~35% displacement effect, MBG's net annual GDP impact is approximately 0.71 pp — real and material, but still well below the impression created by the government narrative. Use the program for its proper purpose: reducing stunting and empowering local food MSMEs.

7.3 The Cost of Statistical Credibility Loss: A Lesson from the United States

The internal inconsistency documented in this report — and BPS's silence on it — raises a broader concern about the value of credible official statistics. Recent empirical evidence from the United States offers a useful benchmark.

In a study of the August 1, 2025 firing of the U.S. Bureau of Labor Statistics (BLS) Commissioner by President Trump, Bloom, Groshen, Hobbs, and Strain (NBER Working Paper No. 35135, April 2026) quantify the economic cost of eroding trust in official statistics. Using an event-study design on the Economic Policy Uncertainty (EPU) index, they find that the firing — which introduced doubt about BLS data quality without any evidence of actual manipulation — caused a 50% spike in measured economic policy uncertainty in the week after the event. Mapping this uncertainty shock to macroeconomic outcomes via the Baker-Bloom-Davis VAR framework, their baseline estimate implies a loss of approximately **\$20 billion in U.S. GDP** from a single week of statistical credibility erosion. As a ratio to BLS's annual budget of \$704 million, this implies that **maintaining trust in official statistics generates economic benefits of roughly \$25 for every \$1 spent on the agency.**

The Indonesian Parallel

The Indonesian context differs from the U.S. case in an important respect: the credibility concern here does not arise from political attack on BPS from outside, but from an **internal inconsistency within BPS's own published data**. This is analytically a stronger challenge. The Bloom et al. finding that *even the perception of unreliability* — not proven manipulation — raises uncertainty and suppresses investment applies with full force here.

If investors and policymakers price Indonesian GDP statistics with a credibility discount, the uncertainty premium they demand has real macroeconomic costs analogous to those quantified by Bloom et al. The greatest risk of defending the 5.61% headline is not that it will be immediately disbelieved — it is that it will be **discounted silently**: business investment decisions deferred, monetary policy calibrated on unreliable signals, and structural reform pressure prematurely relaxed. **A credible 4.7–4.9% GDP figure serves the Indonesian economy better than an implausible 5.61%.**

This has a direct institutional implication. Indonesia needs a BPS that is not only technically capable but also institutionally empowered to explain and, if necessary, revise figures in the face of internal inconsistencies. The Bloom et al. estimate of \$25 return per \$1 of statistical agency budget is a reminder that investment in credible official statistics is not administrative overhead — it is a high-return public good. The same logic applies to BPS: strengthening its methodological transparency and its capacity to address internal data inconsistencies promptly is an investment with returns that far exceed the budget cost.

8. Conclusion

Five main conclusions:

- **BPS's Q1-2026 GDP figure of 5.61% is likely overstated.** BPS's own data reveals an internal inconsistency: Electricity sector VA at -0.99% vs. Manufacturing GDP at +5.04%. The inconsistency-based correction places Q1-2026 GDP in the range of 4.4–5.2%, with a central estimate of ~4.89%. No external data is required to reach this conclusion.
- **The Rp 100 trillion inventory surge almost certainly does not reflect rational economic behavior.** The 25-fold jump in a single quarter reflects SUT reconciliation residuals, not genuine capacity expansion.
- **The Q1 Government Consumption surge merely shifts the quarterly pattern.** With total APBN unchanged, Q2–Q4 face fiscal headwinds that could reduce growth by 0.3–0.5 percentage points in the second half.
- **A potential El Niño in Q3–Q4 adds downside risk to Agriculture and Plantations (>12% of GDP).** Estimated impact: -0.2 to -0.5 pp on full-year growth.
- **Our full-year 2026 projection:** 4.8–5.0% (baseline), 4.5–4.7% (moderate Iran), 4.2–4.5% (Iran + El Niño). Central Estimate: 4.67%. A growth rate of 4.0–4.5% is a good and realistic outcome given the global context.
- **Statistical credibility has quantifiable economic value.** Recent U.S. evidence (Bloom et al., NBER 2026) suggests that eroding trust in official statistics — even without proven manipulation — generates economic costs on the order of \$25 per \$1 of statistical agency budget, operating through elevated policy uncertainty. BPS's unexplained internal inconsistency in Q1-2026 data creates exactly this credibility risk. Addressing it transparently — through public explanation or revision — is not merely a technical matter; it is a high-return investment in the informational public good that underpins sound economic decision-making.

Methodological Notes and Data Sources

GDP data: BPS, Official Statistics Release Q1 2026 (No. 48/05/Th. XXIX, 5 May 2026) and BPS microdata files. Deflator data: IMP sheet from BPS files. Inventory data: processed from the research team's Excel files. Global commodity data: World Bank Q1 2026. Global projections: IMF World Economic Outlook, April 2026. HP filter: $\lambda=1600$ (Hodrick-Prescott, 1997). El Niño: BMKG and NOAA (April–May 2026). Statistical credibility reference: Bloom, N., Groshen, E.L., Hobbs, D., and Strain, M.R. (2026). *"The Value of Reliable Statistics."* NBER Working Paper No. 35135, April 2026. BPS officially publishes all data used. Calculations and projections are the authors' estimates.

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